

On-Chain Analysis Chatbot Guide v1

1. What is On-Chain Analysis?

On-chain analysis is the process of analyzing data from a blockchain to gain insights into the behavior of users and the health of the network. It involves looking at transaction patterns, wallet addresses, and other data that is recorded on the blockchain.

2. MVRV Ratio

MVRV (Market Value to Realized Value) ratio is a measure of the profitability of a cryptocurrency. It is calculated as the market value of a cryptocurrency divided by its realized value. MVRV > 3 indicates that the cryptocurrency is overvalued, while MVRV < 1 indicates that it is undervalued.

3. SOPR

SOPR (Spent Output to Production Ratio) is a measure of the profitability of a cryptocurrency. It is calculated as the ratio of the value of the outputs of a transaction to the value of the inputs. SOPR > 1 indicates that the transaction is profitable, while SOPR < 1 indicates that it is not.

4. Network Hash Rate

Network hash rate is a measure of the computational power of a blockchain network. It is calculated as the number of hashes that the network can produce per second. A higher hash rate indicates a more secure and powerful network.

5. Bitcoin Dominance

Bitcoin dominance is a measure of the relative value of Bitcoin compared to other cryptocurrencies. It is calculated as the market value of Bitcoin divided by the total market value of all cryptocurrencies. A higher dominance indicates that Bitcoin is more valuable than other cryptocurrencies.

6. Transaction Volume

Transaction volume is a measure of the number of transactions that are processed by a blockchain network. It is calculated as the total number of transactions divided by the number of blocks. A higher transaction volume indicates a more active and healthy network.

7. ETF Inflows

ETF inflows are a measure of the amount of money that is flowing into exchange-traded funds (ETFs) that track the price of a cryptocurrency. A higher inflow indicates that more investors are buying the cryptocurrency.

8. Social Media Sentiment

Social media sentiment is a measure of the overall mood of the market for a cryptocurrency. It is calculated as the ratio of positive to negative sentiment. A higher sentiment indicates a more bullish market.

9. Long-Term Holding (LTH)

Long-term holding (LTH) is a measure of the percentage of a cryptocurrency that is held by long-term investors. A higher LTH indicates that more investors are holding the cryptocurrency for the long term.

10. Summary

This guide provides a summary of the key metrics used in on-chain analysis. The metrics are: 1. ETF Inflows 2. Network Hash Rate 3. Transaction Volume 4. Bitcoin Dominance 5. SOPR 6. MVRV 7. Social Media Sentiment 8. Long-Term Holding (LTH) 9. Transaction Volume 10. Network Hash Rate

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MVRV ■■ = ■■■ ■■■ ■■

SOPR > 1 = ■■ ■■

SOPR < 1 = ■■ ■■

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ETF ■■■ = ■■ ■■ ■■

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